Question 1: Solution

Capex Products Ltd

6-month use of vehicle

Capex has exclusive use of the vehicle for the 6-month contract and therefore can obtain all of the economic benefits from the use of the vehicle, and has the right to direct the use of the vehicle during the contract period as there are no restrictions on how it can be used. The contract is therefore a lease.

(2 marks)

As Capex applies all recognition exemptions available, this lease will be treated as a short-term lease as the period is within the 12 months or less criteria. Lease expenses are recognised on a straight-line basis over the term of the lease.

(1 mark)

Use of machine

The machine will generate economic benefits to Capex in the form of employee cost savings. Capex has the right to all of the economic benefits and has the right to direct the use of the asset during the contract period. The requirement to undertake mandatory servicing is intended to protect the asset and supplier, as it is required to meet health and safety regulations, and does not prevent Capex from having the right to direct the use of the machine.

(2 marks)

The lease term is 6 years as Capex is highly likely to take up the optional 2-year period as the machine will be integral to its operations for a period of at least 5 years and a significant penalty would be payable if the lease was to be cancelled during the optional period.

(1 mark)

There are no optional recognition exemptions available as this is neither a short-term lease nor a lease with an underlying asset of low value, and therefore a right-of-use (RoU) asset and lease payable must be recognised.

(1 mark)

Total marks (7 marks)

Question 2: Solution

House Tricks plc

As legal title to the machinery transfers to the buyer, payment is made at the date of transfer and the buyer has the right to obtain substantially all the benefits from the machinery, the transfer meets the definition of a sale in accordance with IFRS 15 *Revenue from Contracts with Customers.*

(1 mark)

The sale value exceeds the fair value of the machinery. The £60,000 (£500,000 - £440,000) proceeds received in excess of the fair value are in substance a loan and will be accounted for as a financial liability measured at amortised cost.

(1 mark)

		£'000	**£'000**
Dr	SPL – revenue	60,000	
	Cr Loan		60,000

Being correction to the amount received and recording of the loan

(1 mark)

Only part of the gain on disposal should be recognised in the financial statements and this should be calculated based on the relative fair values of the rights retained and transferred. The proceeds for calculating the gain are based on the fair value of the machinery of £440,000.

(1 mark)

The lease liability is measured as the present value of future lease payments less the amount of those payments that represents the amount recognised as a loan.

(1 mark)

Lease liability = (£68,000 x 3.505) - £60,000 = £178,340

(1 mark)

The RoU asset is measured based on the proportion of the property retained.

(1 mark)

Initial measurement of the RoU asset is therefore £162,127 (£400,000 x £178,340/440,000).

(1 mark)

The total gain is £40,000 (£440,000 - £400,000).

The gain that can be recognised is calculated based on the proportion that relates to the transferred asset and is presented in the operating category of the statement of profit or loss.

(1 mark)

Gain to recognise = £23,787 (£40,000 x (£440,000 - £178,340)/£440,000)

(1 mark)

Therefore, the journal entry to recognise the sale-and-leaseback transaction is:

			£'000	£'000
Dr	SPL – revenue		440,000	
	RoU asset		162,127	
	Cr	Lease liability		178,340
	Cr	PPE		400,000
	Cr	Gain on disposal		23,787

Being the recognition of proceeds in excess of fair value as a loan

(2 marks)

Total marks (12 marks)

Question 3: Solution

Petal Ltd

The lease liability should be remeasured from 1 June 20X4 to include the remaining payments of the initial 5-year period plus the 2-year extension period.

(1 mark)

The lease liability is remeasured using Petal's incremental borrowing rate of 7% at 1 June 20X4 and not at the original incremental borrowing rate of 5%.

(1 mark)

Date	**Discounted cash flow**	**Present value of future lease payments** **£**
31 May 20X5	£12,500 / 1.07	11,682
31 May 20X6	£12,500 / 1.07^2	10,918
31 May 20X7	£12,500 / 1.07^3	10,204
31 May 20X8	£10,000 / 1.07^4	7,630
31 May 20X9	£10,000 / 1.07^5	7,130
		47,564

(2 marks)

The remeasurement of the lease liability:

£47,564 - £34,035 = £13,529

The lease liability and right-of-use asset should be increased by £13,529 at 1 June 20X4.

(1 mark)

The carrying amount of the lease liability at 31 May 20X5 will be increased by the interest expense, calculated using the effective interest rate of 7% and decreased by the lease payment of £12,500.

(1 mark)

	b/f (£)	**Interest expense 7% (£)**	**Payment (£)**	**c/f (£)**
31 May 20X5	47,564	3,329	(12,500)	38,393

(1 mark)

The RoU asset will be depreciated over the new remaining useful life of 5 years.

(1 mark)

	£
Carrying amount 1 June 20X4	32,468
Remeasurement	13,529
Revised carrying amount	45,997
Depreciation (1/5 x £45,997)	(9,199)
Carrying amount 31 May 20X5	36,798

(1 mark)

Total marks (9 marks)

Question 4: Solution

Festive Beers plc

Court case

Since the lawyers have advised that it is probable that the entity would not be found liable in a court case, there is no obligation as a result of past events in relation to the court case itself.

(1 mark)

However, by offering a settlement of £10,000 to the customer, the company has created a present obligation. There is probable outflow of economic resources due to the settlement offered, which it is assumed the customer will take if the solicitors believe that the company will win the case, and the amount can be reliably measured.

(1 mark)

At 30 June 20X4, a provision should be recognised for the £10,000 settlement and the legal costs remain written off to profit or loss.

(1 mark)

Guarantee

As a result of giving a guarantee, a legal obligation has been created to guarantee the supplier's borrowings. However, it is not probable that there will be an outflow of resources as the supplier is in a sound financial state.

(1 mark)

No provision is recognised at 30 June 20X4. However, a contingent liability should be disclosed in the notes to the financial statements for the balance outstanding, unless the likelihood of the supplier falling into financial difficulty is remote.

(1 mark)

Supply of bad malt

The cost of the malt (£140,000) has been reimbursed and so the suspense account should be eliminated by removing the related inventories.

(1 mark)

As the insurance company has formally accepted the claim for the remaining costs (£410,000 - £140,000) of £270,000, a receivable (£270,000) may be recognised at 30 June 20X4, and cost of sales reduced.

(1 mark)

The lost profits represent a possible asset arising from the use of bad malt, which will only be confirmed once the insurance company formally accepts this element of the claim.

(1 mark)

As the broker is confident (but not virtually certain) that this is the case, a contingent asset (£125,000) should be disclosed in the notes to the financial statements for the year ended 30 June 20X4.

(1 mark)

Environmental damage

As a result of the discharge into a river, a legal obligation has been created to clear up environmental damage. There is a probable outflow of economic resource due to further clear-up costs (£120,000).

(1 mark)

The fine (£20,000) and clear-up costs (£200,000) incurred are not future outflows of resources. A provision will be recognised at 30 June 20X4 based on estimates of future costs only (£120,000).

(1 mark)

Total marks (11 marks)

Question 5: Solution

Nairobi Enterprises plc

Decommissioning provision

The discount on the provision must first be unwound for the year ended 31 May 20X8 and this amount is recognised as an interest expense in the statement of profit or loss, presented in the financing category.

(1 mark)

The estimate of the future cost has changed, so the provision has to be remeasured at 31 May 20X8 with any change in the provision adjusting the cost of the building,

(1 mark)

	£'000
Present value of restoration costs at 31 May 20X7	1,087
Unwinding at 7%	76
	1,163
Present value of restoration costs at 31 May 20X8 (£2,400,000 / 1.07^{14})	(931)
Decrease in provision	232

(3 marks)

The decrease in provision will reduce the subsequent depreciation expense in respect of the asset.

(1 mark)

		£'000	**£'000**
Dr	SPL – interest expense	76	
Dr	Provision for decommissioning	156	
Cr	Buildings - cost		232

Being unwinding of discount on provision and decrease in present value of restoration costs

(2 marks)

Warranty

As a result of selling products under warranty, a legal obligation has been created for repairs. There is a probable outflow of economic resource due to repair costs. As there is a large population of items, the obligation is estimated based on the expected value of all potential outcomes.

(1 mark)

	£'000
Complete failure (420 units x 5% x £70,000)	1,470
Engine replacement (420 units x 10% x £40,000)	1,680
Minor repair (420 units x 10% x £8,000)	336
Provision for warranties	3,486

(2 marks)

Decrease in provision = 3,762k – 3,486k = 276k

(1 mark)

		£'000	£'000
Dr	Provision for warranties	276	
Cr	SPL – general and administrative expenses		276
Being reduction of provision for warranties			

(1 mark)

Disclosure note

	Decommissioning £000	Warranty £000
At 1 June 20X7	1,087	3,762
Additional provision in the period	76	-
Provision released in the period	-	(276)
Remeasurement of provision	(232)	-
At 31 May 20X8	**931**	**3,486**

(3 marks)

Total marks (16 marks)

Question 6: Solution

Keplex plc

1.
Leicester site

Keplex currently has two depot sites. The closure of the Leicester site will have a material effect on the nature and cost of the entity's operations and is therefore considered to be a restructure.

(1 mark)

A constructive obligation exists as the plan has been announced to staff, who will be affected, and the general public, by way of a press release. A contract for sale has been written up, creating a legal obligation.

(1 mark)

A provision for restructuring should be recognised at 31 March 20X4. The provision shall include only the direct expenditure arising from the restructuring that tare solely related to the restructuring.

(1 mark)

As per IAS 19 Employee Benefits, termination payments such as the staff redundancy costs are a direct cost of restructuring and are therefore included in the measurement of the redundancy provision.

(1 mark)

Retraining staff and marketing the remaining site are not direct expenditures that are included in the provision measurement. These are treated as expenses which are recognised in the statement of profit or loss as they are incurred.

(1 mark)

The penalties to terminate supplier contracts are a direct expense related to the restructuring, and would therefore be included in the provision. At 31 March 20X4, the provision to be recognised relating to the restructuring would be £445,000 (£250,000 + £195,000).

(1 mark)

Stirling head office

The closure of the Stirling head office was proposed after 31 March 20X4. At 31 March 20X4 there was no detailed formal plan or valid expectation, therefore, there was no present obligation for a restructuring provision and no provision would be recognised at 31 March 2024..

(1 mark)

If the restructuring plan is announced in the period after the reporting date but before the financial statements are authorised for issue by the directors, this is an example of a non-adjusting event after the reporting period. IAS 10 Events after the Reporting Period requires disclosure of non-adjusting events if they are considered to be material.

(1 mark)

2. Ethics

Issue

The board have requested that disclosure relating to the planned closure are limited to present the company in a more positive light, despite knowing this will contradict the requirements of the IFRS Accounting Standards.

(1 mark)

Integrity

Chartered Accountants are required to act with integrity, which means behaving in a truthful and honest manner. The board's request to manipulate the disclosures to mislead users of financial information by minimising the required disclosure goes against this principle.

(1 mark)

Objectivity

Objectivity is threatened as the board have stated that any reputational damage caused by the disclosure of information has the potential to lead to further redundancies. There may, therefore, be the temptation not to make disclosures in order to avoid this happening.

(1 mark)

Professional competence and due care

Professional competence and due care are threatened as disclosures must be made in accordance with IFRS Accounting Standards to meet the principle of due care.

(1 mark)

Professional behaviour

There is a risk that the reputation of the profession may be brought into disrepute by knowingly publishing financial information that does not comply with the IFRS Accounting Standards to mislead users of the financial information.

(1 mark)

Total marks (13 marks)

Question 7: Solution

Companies A and B

Carrying amount

	Company A £'000	Company B £'000
Cost (1 April 20X1)	1,000	1,000
Depreciation charge (1/10 years x £1,000,000)/(1/3 years x £1,000,000)	(100)	(333)
Carrying amount (31 March 20X2)	900	667
Depreciation charge	(100)	(333)
Carrying amount (31 March 20X3)	800	334
Depreciation charge	(100)	(334)
Carrying amount (31 March 20X4)	700	-

(2 marks)

Tax written-down value

	Companies A and B £'000
Cost (1 April 20X1)	1,000
Capital allowances (18% x £1,000k)	(180)
Tax written-down value (31 March 20X2)	820
Capital allowances (18% x £820k)	(148)
Tax written-down value (31 March 20X3)	672
Capital allowances (18% x £672k)	(121)
Tax written-down value (31 March 20X4)	551

(1 mark)

Deferred tax

Company A

	Carrying amount £'000	Tax base £'000	Taxable/ (deductible) temporary difference £'000	Deferred tax liability/ asset £'000
31 March 20X2	900	820	80	20 Cr
31 March 20X3	800	672	128	32 Cr
31 March 20X4	700	551	149	37 Cr
Increase in deferred tax liability in 20X4				5

(2 marks)

Company B

31 March 20X2	667	820	(153)	38 Dr
31 March 20X3	334	672	(338)	85 Dr
31 March 20X4	-	551	(551)	138 Dr
Increase in deferred tax asset in 20X4				53

(2 marks)

Journal entries

Company A

		£'000	£'000
Dr	SPL – income tax expense	5	
	Cr Deferred tax liability		5

Being increase in deferred tax liability for year to 31 March 20X4

(1 mark)

Company B

Dr	Deferred tax asset	53	
	Cr SPL – income tax expense		53

Being increase in deferred tax asset for year to 31 March 20X4

(1 mark)

Total marks (9 marks)

Question 8: Solution

McKenzie plc

Advice

A deferred tax asset should be recognised for the carry forward of unused tax losses, as it is probable that the loss can be utilised in the future.

(1 mark)

It is probable that taxable profit will be available against which the deductible temporary difference can be utilised, as the new product is trading profitably and this is expected to continue.

(1 mark)

Deferred tax liability

	Carrying amount £'000	Tax base £'000	Taxable/ (deductible) temporary difference £'000
Accelerated capital allowances	70,000	62,000	8,000
Revaluation surplus (£7,800,000- £6,000,000)	1,800	-	1,800
Unused tax losses	-	-	(4,800)
Net taxable temporary difference			5,000
Deferred tax liability at 31 March 20X3 (25% x £5,000)			1,250
Deferred tax liability at 31 March 20X2			1,800
Decrease in deferred tax liability			550

Temporary difference (3 marks)

Deferred tax liability 20X3 and movement in deferred tax liability (2 marks)

Journal entry

Deferred tax on revaluation surplus = 25% x £1,800,000 = £450,000

(1 mark)

		£'000	£'000
Dr	OCI - Revaluation surplus	450	
Dr	Deferred tax liability	550	
	Cr SPL – income tax expense		1,000
Being decrease in deferred tax liability			

(2 marks)

Disclosure notes

IAS 12 requires disclosure of the amount of deferred tax liabilities and deferred tax assets at the end of the reporting period for each type of timing difference and the amount of unused tax losses.

(1 mark)

The deferred tax asset and liability are presented as a single amount, with the deferred tax assets and liability being set off. This is only permissible under IAS 12 if there is a legally enforceable right to set off current taxes and liabilities and the assets and liabilities relate to the same tax authority.

(1 mark)

Deferred tax that is recognised in profit or loss is included in the income tax expense which must be presented in the statement of profit or loss. It will be broken down into major components in the tax disclosure note.

(1 mark)

Total marks (13 marks)

Question 9: Solution

King plc

Deferred tax liability

	Carrying amount £'000	Tax base £'000	Taxable/ (deductible) temporary difference £'000
Accelerated capital allowances (W1)	85,000	77,900	7,100
Revaluation surplus	6,000	-	6,000
Deferred income	(8,000)	2,000	(8,000)
Unused tax losses	-	-	(2,000)
Net taxable temporary difference			3,100
Deferred tax liability at 31 March 20X4			775
Deferred tax liability at 31 March 20X3			-
Increase in deferred tax liability			775

Temporary differences (not including accelerated capital allowances, ACA) (4 marks)

Increase to liability (1 mark)

Working – Accelerated capital allowances

The carrying amount of the asset is calculated in accordance with IAS 16: Carrying amount = £90,000,000 + £15,000,000 - £20,000,000 = £85,000,000

(1 mark)

The tax base of the asset is calculated as the tax written-down value (TWDV): TWDV = £80,000,000 + £15,000,000 - £17,100,000 = £77,900,000

(1 mark)

Unused tax losses = 15,000 + 28,500 – 41,500 = 2,000

(1 mark)

Increase in revaluation surplus deferred tax liability = (25% x £6,000,000) - £1,250,000 = £250,000

(1 mark)

		£'000	£'000
Dr	SPL – income tax expense	525	
Dr	OCI - Revaluation surplus	250	
	Cr Deferred tax liability		775

Being increase in deferred tax liability

(1 mark)

Deferred tax asset

A deferred tax asset can only be recognised if it is probable that there will be future taxable profits. The existence of recent losses is a strong indicator that future profits will not be available to absorb losses carried forward.

(1 mark)

At 31 March 20X3, King had additional tax losses of £28.5m. These losses were not recognised because it was not probable at that time that these losses could be utilised.

(1 mark)

At 31 March 20X4, there were sufficient taxable trading profits (£41,500,000) to absorb the losses before their expiration, providing convincing evidence for recognition of the deferred tax asset.

(1 mark)

Sale of land

The carrying amount of the new land will be £16m in 20X5, however, the tax base of the new land is £9.5m (£16m - £6.5m). This will give rise to a taxable temporary difference of £6.5m.

(1 mark)

The taxable temporary difference will result in a deferred tax liability and additional income tax expense of £1.625m (25% x £6.5m), which is matched to the gain on disposal of the original land.

(1 mark)

Total marks (15 marks)

Question 10: Solution

Jeffrey, Hastings and Sole Ltd

Current tax

Tax suspense account

The taxation suspense account needs to be cleared with the following journals:

		£'000	£'000
Dr	Income taxes payable	618	
Cr	Tax suspense account		618

Being correction to payments of third and fourth instalments for the year ended 31 March 20X3

Dr	SPL – income tax expense	42	
Cr	Tax suspense account		42

Being correction to recognise under-provision for the year ended 31 March 20X3

Dr	SPL – income tax expense	639	
Cr	Tax suspense account		639

Being correction to payments of first and second instalments for the year ended 31 March 20X4

(3 marks)

Taxable profit

The income taxes payable figure will be calculated based on the taxable profits figure:

	£'000
Corporation tax liability (25% x £5,009,000)	1,252
First and second instalments paid	(639)
Income taxes payable	613

Corporation tax liability and payable (2 marks)

The following journal will be posted to reflect the current payable amount:

		£'000	£'000
Dr	SPL – incomes tax expense	613	
Cr	Income taxes payable		613

Being accrual for third and fourth instalments of current year corporation tax liability

(1 mark)

Deferred tax

	Carrying amount £'000	Tax base £'000	Taxable / (deductible) temporary difference £'000
Accelerated capital allowances (W)	19,641	17,926	1,715
Revaluation surplus (£576,000 - £102,000)	474	-	474
Defined benefit pension plan obligation	(228)	-	(228)
Net taxable temporary differences			1,961
Deferred tax liability at 31 March 20X4 (25%)			490
Deferred tax liability at 31 March 20X3			350
Increase in deferred tax liability			140

Temporary differences (not including ACA) (3 marks)

Deferred tax liability and movement (2 mark)

Working – Accelerated capital allowances

Carrying amount = £20,875,000 + £2,063,000 - £3,297,000 = £19,641,000 TWDV = £20,143,000 + £2,063,000 - £4,280,000 = £17,926,000

(1 mark)

Decrease in revaluation surplus deferred tax liability = £144,000 - (£474,000 x 25%) = £25,500

(1 mark)

		£'000	£'000
Dr	SPL – income tax expense	166	
Cr	OCI - Revaluation surplus		26
Cr	Deferred tax liability		140

Being increase in deferred tax liability

(1 mark)

Total marks (14 marks)

Question 11: Solution

Scott Ltd

Retail property unit

Lease liability is measured at at the present value of future lease payments.

(1 mark)

The future payments are discounted using the rate implicit in the lease, which is 8%.

(1 mark)

The lease contract includes annual payments of £60,000 plus 1% of revenue for the year with a minimum additional payment of £10,000. The £10,000 minumum payment is an 'in-substance' fixed payment. Fixed payments are used to measure the lease liability.

(1 mark)

Any amounts due in excess of the £10,000 are defined as variable payments. IFRS 16 requires variable payments to be recognised in the statement of profit or loss as incurred.

(1 mark)

The right of use asst is initially measured at the same value as the lease liability.

(1 mark)

Lease liability and right-of-use asset value at 1 July 20X3: £70,000 x 2.577 = £180,390

(1 mark)

Depreciation must be calculated over the shorter of the lease term (3 years) and the useful life of the asset i.e. 3 years.

(1 mark)

The depreciation expense for the year ended 30 June 20X4 is £180,390 / 3 = £60,130.

(1 mark)

The lease liability is subsequently measured by increasing the carrying amount to reflect the interest on the lease liability and reducing it by any payments made.

(1 mark)

The carrying amount of the lease liability at 30 Juny 20X4 must be split between current and non-current liabilities as there are still 2 years remaining in the lease term.

(1 mark)

Lease liability at 30 June 20X4:

	b/f liability (£)	Interest at 8% (£)	Payment (£)	c/f liability (£)
30 June 20X4	180,390	14,431	(70,000)	124,821
30 June 20X5	124,821	9,986	(70,000)	64,807
Current liability at 30 June 20X4				60,014

(3 marks)

Sale and leaseback

Only part of the gain on disposal should be recognised in the financial statements and this should be calculated based on the fair value of the rights retained and transferred.

(1 mark)

The lease liability on 1 July 20X3 is deemed to be £399,300. This is the present value of future lease payments (£100,000 x 3.993).

(1 mark)

The RoU asset is measured based on the proportion of the property retained.

(1 mark)

Initial measurement of the RoU asset is therefore £346,060 (£390,000 x £399,300 / £450,000).

(1 mark)

The total gain is £60,000 (£450,000 - £390,000).

(1 mark)

The gain that can be recognised is calculated based on the proportion that relates to the transferred asset, which is £6,760 (£60,000 x (£450,000 - £399,300) / £450,000)).

(2 marks)

Depreciation expense for the year ended 30 June 20X4 is calculated over the 5 year lease term on a straight line basis.

Depreciation = £346,060 / 5 = £69,212.

(2 marks)

The lease liability at 30 June 20X4 (measured in accordance with IFRS 16) is measured as follows:

	b/f (£)	Interest expense 8% (£)	Payment (£)	c/f (£)
30 June 20X4	399,300	31,944	(100,000)	331,244
30 June 20X5	331,244	26,500	(100,000)	257,744

(2 marks)

Extracts

Statement of profit or loss for the year ended 30 June 20X4

	£'000
Depreciation (60 + 69)	129
Interest expense on lease liabilities (14 + 32)	46
Gain on sale of non-current asset	7
Variable lease expense	6

(6 marks)

Maturity analysis note as at 30 June 20X4

	£'000
Within 1 year (70 + 100)	170
After 1 year (70 + 300)	370
	540
Effect of discounting (balancing figure)	(84)
Lease liability (125 + 331)	456

Total marks (30 marks)